

IFERROR Function in Excel

1. What is IFERROR?

The IFERROR function checks a formula. If the formula gives an error, IFERROR shows a value you choose instead. If there is no error, it shows the normal result. It solves the problem of messy error messages such as #DIV/0! appearing in reports. A Data Analyst uses it to keep tables and dashboards clean and easy to read.

2. Syntax

=IFERROR(value, value_if_error)

Argument	Required?	What it accepts
value	Required	The formula, expression, or cell to check for an error (for example A2/B2)
value_if_error	Required	What to show if there is an error: text in quotes ("Error"), a number (0), empty quotes ("") for a blank look, or a cell reference

Both arguments are required. IFERROR does not change the result when there is no error; it only steps in when the first argument returns an error.

3. Simple Example

Divide Number by Divide By, and show "Error" if the division fails:

	A	B	C
1	Number	Divide By	Result
2	10	2	5
3	10	0	Error
4	15	5	3
5	12	0	Error

Formula in C2: =IFERROR(A2/B2, "Error"), then copied down to C5.

Row 2: 10 ÷ 2 works, so Excel shows 5. Row 3: 10 ÷ 0 would give #DIV/0!, so Excel shows "Error" instead. Rows 4 and 5 follow the same rule.

4. Another Example

Find the average sales per customer for each region:

	A	B	C	D
1	Region	Sales	Customers	Per Customer
2	North	50000	10	5000
3	South	24000	0	No data
4	East	36000	12	3000
5	West	0	0	No data

Formula in D2: =IFERROR(B2/C2, "No data"), then copied down to D5.

North works normally: 50000 ÷ 10 = 5000. South has 0 customers, and West gives 0 ÷ 0. Both would show #DIV/0!, so Excel shows "No data" instead.

5. When to Use It

- Avoid #DIV/0! in ratios, percentages, and averages per customer or per order
- Replace #N/A in lookup formulas with a clear message such as "Not found"
- Keep reports and dashboards clean before sharing them with managers
- Replace errors with a blank or a custom value during data cleaning
- Prevent errors from spreading into other formulas that depend on the result

6. Important Things to Remember

- IFERROR catches every type of error: #DIV/0!, #N/A, #VALUE!, #REF!, #NAME?, #NUM!, and #NULL!.
- If the formula has no error, IFERROR returns its normal result unchanged.
- Text replacements go in quotes ("No data"). Numbers do not. Empty quotes ("") make the cell look blank.
- Choose the replacement carefully. A 0 is counted in totals and averages, while text and "" in a range are ignored by SUM and AVERAGE.
- Because IFERROR hides all errors, it can also hide real mistakes, such as a misspelled function name or a wrong cell reference.
- Both arguments are required.

7. Common Mistakes

Mistake: Adding IFERROR too early, which hides real mistakes in the formula. **Fix:** Build and test the formula first, then add IFERROR at the end.

Mistake: Forgetting quotation marks around a text replacement, such as =IFERROR(A2/B2, Error). This causes #NAME?. **Fix:** Write "Error" in quotes.

Mistake: Using 0 as the replacement when 0 would distort the results, such as in an average. **Fix:** Use "" or a text message like "No data" when the value should not count as zero.

Mistake: Leaving out the second argument, such as =IFERROR(A2/B2). **Fix:** Always give both arguments: the value and the replacement.

8. Data Analyst Tip

Use a clear message such as "No data" instead of 0 when a division fails, because 0 looks like a real result. Add IFERROR as the last step, after checking that the formula works on normal rows. This way you only hide the errors you expect, and real mistakes still get noticed.